wrote that "the quantitative factors lend themselves far better to thoroughgoing analysis than the qualitative factors." (Chap. 2)

We are all products of our times. As James Grant has noted, the first edition of *Security Analysis* came into the world amid the challenging backdrop of economic depression and the sparks that would soon ignite into World War II, a time when national unemployment in the United States topped 25%, and in the immediate aftermath of a stock market crash that had seen the market plunge 87% between its 1929 peak and 1932 nadir. After this crash and the ensuing Great Depression that had just wiped out an entire generation of investors, Graham and Dodd approached stocks with extreme caution. To help their readers avoid the same devastating losses, the authors recommended they pay less than two-thirds of "net working capital."[1] Buying at such a discount to the value of a company's hard assets makes it difficult to lose money, especially if a portfolio of similarly undervalued securities can be assembled to diversify and mitigate the risk of owing a single enterprise. This approach, however, turns operating companies into asset plays, a strategy that made sense in 1934, but no longer does. When today's stocks trade at a very distressed price, it's typically because the underlying business is facing an existential struggle.

Graham and Dodd distinguished between investing and speculation. "Investment," they wrote, "is grounded in the past whereas speculation looks primarily to the future." (Chap. 4) Yet those who buy ongoing companies (which is what most investors do) have no choice but to contemplate the future and to wrestle with qualitative issues that are at least as important as price.[2] The purpose of demanding a margin of safety is to tip the odds in favor of the

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[1] Defined as working capital less all liabilities (so-called net-nets).

[2] The irony is that, despite his advice to avoid "speculation," Graham's greatest investing triumph was his ownership in Geico, an operating business, which made him more money than all his beloved net-nets.